

DEBRE MARKOS UNIVERSITY BURIE CAMPUS

Department of Accounting and Finance

Model examination from 100%

For the following questions choose the possible correct answer from the given alternatives.

1. Which of the following is a characteristic of a perpetual inventory system?
 - A. Inventory purchases are debited to a purchases account.
 - B. Inventory records are not kept for every item.
 - C. Cost of goods sold is recorded with each sale made.
 - D. Cost of goods sold is determined as the amount of purchases less the change in inventory.
2. The accounting process involves all of the following **except**:
 - A. identifying economic events that are relevant to the business.
 - B. communicating financial information to users by preparing financial reports.
 - C. reporting non-financial economic events.
 - D. analyzing and interpreting financial reports.
3. The bank reconciliation:
 - A. should be prepared by an employee who records cash transactions
 - B. is for information purposes only
 - C. is part of the internal control system
 - D. is sent to the bank for verification
4. Communication of economic event is part of the accounting process that involves:
 - A. identifying and analyzing economic events.
 - B. preparing accounting reports at the end of the period.
 - B. measuring transactions into birr amounts.
 - D. recording and classifying financial information.
5. The equity section of a statement of financial position has two components:
 - A. share capital and retained earnings
 - B. share capital and liabilities
 - C. share capital and assets
 - D. assets and liabilities
6. Which of the following statement is **not correct**?

- A. If an intangible asset has an unlimited life, it should be amortized.
 - B. The amortization period of an intangible asset can exceed 20 years.
 - C. Goodwill is recorded only when a business is purchased.
 - D. If an intangible asset has a limited life, it should be amortized.
7. When there is a change in estimated depreciation:
- A. Previous depreciation should be corrected.
 - B. Current and future years' depreciation should be revised.
 - C. Only future years' depreciation should be revised.
 - D. None of the above.
8. Which one of the following would **NOT** be considered an advantage of the corporate form of business organization?
- A. Double taxation
 - B. Separate legal entity
 - C. Continuous existence
 - D. Limited liability of shareholders
9. If a corporation reacquires its own stock, the stock is listed on the balance sheet in the:
- A. Current assets section.
 - B. Long-term liabilities section.
 - C. Stockholders' equity section.
 - D. Investments section.
10. Which one of the following is/are **not** characteristic of property, plant and equipment?
- A. They exist physically and thus, they are tangible assets.
 - B. They are owned and used by the company in its normal operations.
 - C. They are offered for sale as part of normal operations.
 - D. They are depreciated over time except land.
11. The objective of financial reporting places most emphasis on:
- A. Reporting to only capital providers.
 - B. Reporting on stewardship.
 - C. Providing specific guidance related to specific needs.
 - D. Providing relevant financial information to interested users.

12. Yonas is an employee in one of the government organization in Ethiopia. His monthly salary is Br 4,000. During March 2016 he worked on public holiday for 10 hours. He has a position allowance of Br 1,000. He is also a member of the saving and credit association of the organization and he decides to save 10% of his salary. He is expected to work 160 hours per month and he worked accordingly. What is the amount of tax paid by Yonas to the government?
- A. Birr 625.00
 - B. Birr 841.25
 - C. Birr 280.00
 - D. Birr 780.25
13. Which of the following statements is **false**?
- A. The monetary unit assumption is used under IFRS.
 - B. Under IFRS, companies may use fair value for property, plant, and equipment.
 - C. The FASB and IASB are working on a joint conceptual framework project.
 - D. IFRS does not allow use of fair value as a measurement basis.
14. An asset is impaired when:
- A. An asset valued at less than its purchasing cost.
 - B. An asset current market value less than the value listed on the balance sheet.
 - C. An asset current market value that is greater than the value listed on the balance sheet.
 - D. An asset valued at greater than book value or net carrying value.
15. Which of the following **does not** defined investment property?
- A. Property held to earn rentals income.
 - B. Property used in the production of goods and services.
 - C. Property held for capital appreciation.
 - D. None of the above.
16. Basic objective of financial management is:
- A. Maximization of profit.
 - B. Maximization of shareholder's wealth
 - C. Ensuring financial discipline in the firm.
 - D. Provides financial information to users

17. Which of the following is **NOT** correct, if XYZ Share Company issued 1,000 shares of Birr 100 par value ordinary shares receiving a total amount of Birr 120,000?
- A. Share premium account is credited for Birr 20,000.
 - B. Retained earnings account is credited for Birr 20,000.
 - C. Cash account is debited for Birr 120,000.
 - D. Total shareholders' equity increased by Birr 120,000.
18. Risk-return trade off implies that:
- A. Increasing the portfolio of the firm through increased production.
 - B. Not taking any loans which increase the risk.
 - C. Not granting credit to risky customers.
 - D. Taking a decision which optimizes the balance between risk and return.
19. When a partnership liquidated, the second step in the process is to:
- A. Sell of non-cash asset
 - B. Pay off liabilities of business
 - C. Allocating gain or loss on the sale based on income sharing ratio
 - D. Dividing the remaining cash among the partners
20. A company purchased land for Br 300,000 cash. Broker's commission was Br 5,000 and Br 9,000 was paid for demolishing old house and labeling the land for new building construction. Under the cost principle, the cost of land would be recorded at:
- A. Br 300,000
 - B. Br 309,000
 - C. Br 314,000
 - D. Br 305,000
21. The basic purpose of a financial statement audit is to:
- A. Detect frauds made by their employees.
 - B. Examining individual transactions so that the auditor may certify their validity.
 - C. Provide assurance regarding whether the client's financial statements are fairly stated.
 - D. Assure the consistent application of correct accounting procedures.
22. What does the agency problem refers to?
- A. The conflict that exist between the board of directors and the employees of the firm.
 - B. The problems associated with financial managers and internal revenue agents.

- C. The conflict that exist between shareholders and investors.
 - D. The problem that results from potential conflicts of interest between the manager of the business and shareholders.
23. Which of the following is the first step in capital budgeting process?
- A. Final approval of the project.
 - B. Screening the proposal.
 - C. Implementing proposal.
 - D. Identification of investment proposal.
24. Purchasing the security of a company that is issuing their stock for the first time publicly would be considered:
- A. A secondary market transaction
 - B. An initial public offering or primary market transaction
 - C. Repurchasing stock by the firm
 - D. Over the counter market transaction
25. Which one of the following that refers to make-up of a firm's capitalization.
- A. Capital structure.
 - C. Capital budgeting.
 - B. Equity shares.
 - D. Working capital.
26. If an investor had a choice of receiving Br 1,000 today or Br 1,100 in five years with the annual interest, which would the average investor prefer?
- A. Birr 1,100 in five years because they are not good at saving money.
 - B. Birr 1,000 today because it will be worth more than Br 1,100 received in five years.
 - C. Birr 1,100 in five years because it will be worth more than Br 1,000 received today.
 - D. Investors would be indifferent to when they would receive the Br 1,000 or Br 1,100.
27. Net working capital refers to:
- A. Total assets minus fixed assets.
 - B. Current assets minus current liabilities.
 - C. Current assets minus inventories.
 - D. Current assets minus long term debt.

28. Which of the following is a depository institution?
- A. Insurance company
 - B. Microfinance institution
 - C. Pension fund
 - D. Mutual fund
29. Process costing method is suitable for the:
- A. Accounting firms
 - B. Soft drink companies
 - C. Construction companies
 - D. Transportation firms
30. A liquidity ratio measures the:
- A. Income or operating success of an enterprise over the period of time.
 - B. Ability of the enterprise to survive over the long period of time.
 - C. Short term ability of the enterprise to pay its maturing obligation and to meet unexpected need for cash.
 - D. Number of times interest is earned
31. ABC Company had net credit sales of Br 8,500,000 and cost of goods sold of Br 5,000,000 for the year. The accounts receivable balance at the beginning and at the end of the year was Br 600,000 and Br 760,000 respectively. The accounts receivable turnover was:
- A. 7.4 times
 - B. 5.9 times
 - C. 11.2 times
 - D. 12.5 times
32. Which one is **NOT** correct about the standard costing?
- A. It helps for simplification of cost bookkeeping.
 - B. It is a basis for measuring operating performance.
 - C. It serves for formulating production and price policies.
 - D. It is not used for cost reduction and control.
33. Which of the following can be described as direct finance?
- A. You take out a mortgage from your local bank.
 - B. You borrow some money from friend.

- C. A pension funds lends money to business enterprise.
 - D. You buy shares in a mutual fund.
34. A system of inventory management that discourages the use of safety stock and that requires coordination between a firms and its suppliers to ensure the delivery of the right quantity materials at the right time is called:
- A. Economic order quantity
 - B. Just in time
 - C. Material requirement planning
 - D. Age schedule of inventory

35. Which one of the following accounts would not appear on the consolidated financial statements at the end of the first fiscal period of the combination?
- A. Investment in Subsidiary
 - B. Common Stock- Parent
 - C. Additional Paid-In Capital – Parent
 - D. Retained earnings – Parent
36. If the home office of ABC Co. maintains the accounting records of the plant assets of its branch and that branch acquired equipment for Br 15,000 cash, the appropriate journal entry for the branch is:
- A. Debit the Home Office ledger account and credit a plant asset account for Br 15,000
 - B. Debit the Home Office account and credit Cash for Br 15,000
 - C. Debit a plant asset account and credit the Home Office account for Br 15,000
 - D. Debit Cash and credit the Home Office account for Br 15,000
37. Which of the following statement is **incorrect** about the operation of branch accounting?
- A. Have economic and legal existence
 - B. Carries merchandise obtained from home office
 - C. Make sales and approve customer credit
 - D. Make collection from its customers
38. You are invested a lump sum 20 years ago at 5 percent interest. Today, you gave the proceeds of that investment which totaled Br 54,000. How much you did originally invested?
- A. Br 21,530.20
 - B. Br 20,352.03
 - C. Br 20,980.60
 - D. Br 19,685,25
39. Elimination entries for consolidated financial statements:
- A. Are posted to the general ledger of the parent company.
 - B. Are posted to the general ledger of the subsidiary company.
 - C. Are posted to the general ledger of both the parent and subsidiary company.
 - D. Are not entered into the books of original entry of the companies being consolidated.

40. The non-controlling interest account:
- A. Must be shown in the consolidated statement of financial position as a liability.
 - B. Should be shown in the consolidated statement of financial position as an element of stockholders' equity.
 - C. Must be shown in the consolidated statement of financial position as an element of stockholders' equity.
 - D. Should be shown in the consolidated statement of financial position in a separate section of the section between liabilities and equity.
41. Which one of the following false about IFRS 3:
- A. Deals with accounting for business combinations
 - B. Must use acquisition method
 - C. The acquirer recognizes acquires identifiable assets and liabilities at their fair values
 - D. Recognizes goodwill, which is subsequently tested for amortized rather than impairment
42. The journal entry to record the budget of a special revenue or general Fund would include:
- A. A debit to appropriations Control
 - B. A debit to Estimated Revenues Control
 - C. A credit to Estimated Revenues Control
 - D. None of the above, Special Revenue Funds do not record budgets
43. The following are sources of funds for the debt service fund **except**:
- A. Tax levies specifically designed for debt service.
 - B. General taxes levied by the General Fund and transferred to the debt service fund.
 - C. Special assessments levied against property.
 - D. All of the above are sources of funds for the debt service fund.
44. When a purchase order is issued under a Capital Projects fund, how should the transaction is recorded?
- A. Debit Expenditures and credit Budgetary Fund Balance Reserve for Encumbrances.
 - B. Debit Encumbrances Control and credit Reserve for Encumbrances.
 - C. Debit Expenditures and credit Vouchers payable.
 - D. Debit Encumbrances Control and credit Vouchers payable.

45. Which of the following is **true** regarding internal service funds?
- A. Internal service funds provide services primarily to external users on a user charge basis.
 - B. Internal service funds normally record the annual budget in the accounts.
 - C. Internal service funds' capital assets are not accounted for in the accounts.
 - D. Internal service funds use full accrual accounting.
46. Which of the following is an example of a derivative security?
- A. A Commodity future contract
 - B. A common share of the business
 - C. Preferred share of the business
 - D. Corporate bonds
47. The kind of audit is generally conducted between two annual audits.
- A. Internal audit
 - B. Interim audit
 - C. Final audit
 - D. Continuous audit
48. The main objective of the audit of the cash book may be:
- A. To verify the assets and liabilities.
 - B. To check the internal control system in the business.
 - C. To check all receipts and payments have been properly recorded.
 - D. To check the bank balance.
49. Which one of the following is **NOT** the objectives of public enterprises:
- A. To ensure balanced regional development
 - B. To promote economic development and social welfare
 - C. To support the growth of monopoly
 - D. To reducing income inequality distribution
50. Which one of the following that refers the length of time between the firm actual cash expenditure to pay for raw materials and cash receipts from the sale of products?
- A. Average payback period
 - B. Inventory conversion period
 - C. Receivable collection period
 - D. Cash conversion cycle

51. All of the following are objectives of cost accounting **except**:
- A. To determine selling price
 - B. To control cost and cost reduction
 - C. To assign shareholders in decision making
 - D. To ascertain cost
52. Which one of the following is an indicator of internal impairment of asset?
- A. Forced sale of the asset
 - B. Physical damage or obsolescence of the asset
 - C. Decline in assets market value
 - D. Changes in legal environment
53. The place where buyers and sellers of securities meet in one central location to conduct trades is:
- A. Security dealers market
 - B. Organized exchange market
 - C. Foreign exchange market
 - D. Over the counter market
54. A joint arrangement in which parties have rights to the assets but not obligation for the liabilities is known as:
- A. Joint operation
 - B. Joint venture
 - C. Sole proprietor
 - D. Joint control
55. Public finance has to do with all of the following activities of the government **except**:
- A. For stabilization of activities
 - B. For allocation of activities
 - C. For completion with private sector
 - D. For distribution of activities
56. Assume that the revenue from ABC Corporation is Br 3,000,000 during tax year ended June 30, 2015 E.C. Cost and expense were Br 1,500,000 and Br 600,000 respectively. What is taxable business profit and business profit tax?
- A. Br 600,000 and 450,000

- B. Br 900,000 and 270,000
 - C. Br 850,000 and 350,000
 - D. Br 880,000 and 630,000
57. For which conditions, the tax rate increases as the tax base income increase:
- A. Regressive tax system
 - B. Proportional tax system
 - C. Progressive tax system
 - D. Digressive tax system
58. Which one of the following is **NOT** correct about VAT in Ethiopia?
- A. VAT is collected on business transactions and imports.
 - B. VAT is not a tax on consumer expenditure.
 - C. Educational services provided by educational institutions are exempted from VAT.
 - D. Service rendering by religious organizations are exempted from VAT.
59. One of the following is **NOT** deductible expenses in Ethiopia:
- A. Cost of maintaining the business
 - B. Expenses incurred for operating business activities
 - C. Entertainment expense
 - D. Advertising expense
60. Goods are purchased at VAT inclusive price of Birr 200,000. The amount of input VAT on this transaction is:
- A. Br 27, 120.50
 - B. Br 23,497.47
 - C. Br 26,086.96
 - D. Br 25,750.10
61. Absorption costing:
- A. Expenses marketing costs as cost of goods sold
 - B. Treats direct manufacturing costs as a period cost
 - C. Includes fixed manufacturing overhead as a product cost
 - D. Is required for internal reports to managers
62. A favorable variance indicates that:
- A. Actual costs are greater than budgeted costs

- B. Actual revenues exceed budgeted revenues
 - C. Actual operating income less than budgeted amount
 - D. All of the above
63. Three major influences on pricing decisions are:
- A. Completion, costs and customers
 - B. Competition, demand and production efficiency
 - C. Demand, customer satisfaction and supply
 - D. Period costs, variable costs and fixed costs
64. When fixed costs are Br 40,000 and variable costs are 20% of the selling price, then breakeven sales are:
- A. Br 40,000
 - B. Br 50,000
 - C. Br 20,000
 - D. Br 30,000
65. Net working capital refers to:
- A. Total assets minus fixed assets.
 - B. Current assets minus current liabilities.
 - C. Current assets minus long term liabilities.
 - D. Current assets minus shareholders equity.
66. What is the primary reason that governmental entities use fund accounting?
- A. Fund accounting is required by law.
 - B. Fund accounting is required by IFRS.
 - C. Fund accounting promotes control and accountability over restricted resources.
 - D. Fund accounting promotes better control over operating activities.
67. According to international financial reporting standard (IFRS) 15, the revenue recognition principle state that:
- A. Expense should be matched with revenue.
 - B. The economic life of business can be divided in to artificial time period.
 - C. Revenue should be recognized before performance obligation is satisfied.
 - D. Revenue should be recognized when performance obligation is satisfied.

68. Which of the following is **false** about auditing?
- A. Recently auditing assumes the role of detecting large scale management fraud
 - B. The industrial revolution has contributed positively for the development of auditing profession
 - C. Auditing originates in the private sector
 - D. In early days of auditing, auditors review all transactions
69. Which of the following statements is **false** about public sector reporting entity
- A. It is an entity that raises and uses resources
 - B. It is an entity having service recipients or resource providers dependent on general purpose financial statements
 - C. It may comprises two or more separate entity
 - D. It is an entity where a separate legal entity is essential
70. The market approach valuation technique for measuring fair value requires which of the following:
- A. Present value of future cash flows
 - B. Price and other relevant transactions from identical or comparable assets
 - C. The price to replace the service capacity of assets
 - D. The weighted average of the present value of future cash flows
71. An entity issues fully paid shares to 200 employees on Dec 31, 2004. Normally shares issued to employees vest over a two year period, but these shares have been given as a bonus to employees because of their exceptional performances during the year. These shares have a market value of birr 500,000 on Dec 31,2004, and an average fair value for the year of birr 600,000. What amount would be expensed for the statement of comprehensive income for the above share based payment transaction:
- A. Birr 250,000
 - B. Birr 600,000
 - C. Birr 500,000
 - D. Birr 300,000
72. When accounting for plant, property, and equipment, a company
- A. Must use the cost model for land
 - B. Must use the cost model for presenting the asset

- C. May elect the cost model or revaluation model on any asset class
 - D. May elect to use the cost model or revaluation model on any individual asset
73. Which one of the following is **NOT** the objective of taxation?
- A. Beneficial diversifications of resources
 - B. Reduction of regional imbalance
 - C. Reduction in inequality in income and wealth
 - D. Promoting harmful consumptions
74. Where the fair value of biological asset cannot be determined reliably, the biological asset should be measured at:
- A. Cost less accumulated depreciation
 - B. Net realizable value
 - C. Cost
 - D. Cost less accumulated depreciation and accumulated impairment loss
75. A city holds a treasury notes as investment in capital project fund. During the year, the market value of the note increases by birr 50,000. of this amount birr 14,000 can be attributed to decline in prevailing interest rates and 36,000 to interest that has been earned but not yet received. As year end the city should recognize as revenue
- A. Birr 50,000
 - B. Birr 14,000
 - C. Birr 36,000
 - D. Birr 0
76. After the level of volume exceeds break-even point:
- A. The contribution margin ratio increases
 - B. The total contribution margin will turn from negative to positive
 - C. The total contribution margin exceeds total fixed cost
 - D. Total fixed cost per unit remain constant
77. The process of preparing consolidated financial statement involves elimination of inter company between the parent company and its subsidiary. Where these entries will be recorded:
- A. On subsidiaries book
 - B. The entries are not be recorded on the books of either party

- C. On the parent's book only
 - D. The entries are recorded on books of both parties
78. Your firm is considering an investment that will cost birr 750,000 today. The investment will produce cash flows of birr 250,000 in year one, birr 300,000 in years two through four, and birr 100,000 in year five. The discount rate that your firm uses for project of this type is 13.25%. What is your investment's profitability index?
- A. 0.2
 - B. 1.2
 - C. 1.4
 - D. 1.6
79. In the case of jointly controlled operation, a venture should account for its interest by:
- A. Recognizing the asset and liabilities, expenses and incomes related to its interest in the joint venture
 - B. Showing its shares of asset that it jointly controls, any liability jointly incurs, or severally, and an income and expense related to its interests in the joint venture
 - C. Using the purchase method of accounting
 - D. Using the equity method or proportionate consolidation
80. All of the following statements about users of accounting information system are correct **except**:
- A. Taxing authorities are external users
 - B. Creditors are external users
 - C. Managements are internal users
 - D. Regulatory authorities are internal users
81. When investor company acquires a voting interest of more than 50% in investee company:
- A. The investor company is referred to as subsidiary.
 - B. The parent company prepares consolidated financial statement.
 - C. The investee company is referred to as payment.
 - D. The parent uses an equity method of accounting,
82. Which one of the following is false with regard to statutory consolidation form of business combination?
- A. Control net asset of the combining entities must be acquired by new entity

- B. The net asset of the combining entities must be acquired with asset of the new entity
 - C. The combining entities both cease to exist after combination
 - D. A new entity must be formed
83. Which one of the following is **NOT** a role played by an investment bank?
- A. Buying the security from the issuer and then reselling them in the market.
 - B. Advising the issuer on the terms and the timing of offering.
 - C. Distributing newly issued securities to the public.
 - D. Investing in a diversified portfolio on the behalf of its shareholders.
84. Which one of the following is **NOT** correct about public finance?
- A. It deals with the wants and the satisfaction of households and firms.
 - B. It is the study of income and expenditure of the government.
 - C. Fiscal operations and policies are integrated part of public finance.
 - D. It aims at maximizing social welfare by efficient use of public goods.
85. Which of the following is a method of calculating the present value of an investment?
- A. Payback period
 - B. Internal rate of return
 - C. Net present value
 - D. Return on investment
86. The fair value of an asset at initial recognition is:
- A. The price paid to acquire the asset.
 - B. The book value of the asset acquired.
 - C. The price paid to transfer or sell the asset.
 - D. The price paid to acquire the asset less transaction costs.
87. Which of the following is **NOT** a function of a financial system:
- A. Investment function
 - B. Risk elimination function
 - C. Payment function
 - D. Saving function
88. A company has cash in bank of Br 30,000, restricted cash in a separate account of Br 8,000 and a bank overdraft in an account at another bank of Br 2,000. The company should report cash of:

- A. Birr 40,000
 - B. Birr 30,000
 - C. Birr 28,000
 - D. Birr 36,000
89. ABC Company purchased land containing an estimated 800,000 tons of ore for a cost of Br 6,000,000. During its first year of operation, the company mined and sold 100,000 tons of ore. What is the amount of depletion expense that ABC Company should record for the year?
- A. Birr 650,000
 - B. Birr 750,000
 - C. Birr 700,000
 - D. Birr 850,000
90. Auditors basically accumulates evidence to:
- A. Defend them in the event of a court case.
 - B. Reach a conclusion about the fairness of the financial statements.
 - C. Meet the requirements of ethical code conduct.
 - D. Collecting evidence for the aim of preparing financial reports.
91. In the case of business combination, which of the following will occur?
- A. All identifiable assets and liabilities are recorded at book value at the date of acquisition.
 - B. All identifiable assets and liabilities are recorded at fair value at the date of acquisition.
 - C. Goodwill is recorded if the fair value of the net assets acquired exceeds from its original cost of asset.
 - D. Goodwill is recorded if the fair value of the net assets acquired exceeds the carrying value of the asset acquired.
92. Dividend paid by a manufacturing company is classified under which kind of activity while preparing cash flow statement?
- A. Cash flow from investing activities.
 - B. Cash flow from operating activities.
 - C. Cash flow from financing activities.
 - D. Cash flow from selling activities.
93. Under which of the following inventory costing methods is the ending inventory based on the costs of the most recent purchases?

- A. Weighted average method
 - B. Specific identification method
 - C. Last-in, first-out method
 - D. First-in, first-out method
94. In accordance with IFRS if the share based payment is for goods or services other than from employees, the share based payment should be measured by reference to which of the following?
- A. The fair value of goods and services received.
 - B. The book value of goods and services received.
 - C. The carrying value of the equity instruments granted.
 - D. The fair value of the equity instruments granted.
95. When evaluating a make or buy decision, which of the following does **NOT** need to be considered?
- A. Alternative uses of the production capacity.
 - B. The original cost of the production equipment.
 - C. The quality of the supplier's product.
 - D. The reliability of the supplier's delivery schedule.
96. Which one of the following is a fixed cost for an automobile manufacturing plant?
- A. Material used for producing the product
 - B. Administrative salaries
 - C. Sales commissions
 - D. Electricity used by assembly line machines
97. For the next year, ABC Company has budgeted sales of 40,000 units, target ending finished goods of 2,000 units and beginning finished goods of 1,000 units. All other good inventories are zero. How many units should be produced net year?
- A. 43,000 units
 - B. 41,000 units
 - C. 37,000 units
 - D. 39,000 units
98. Why do auditors generally use a sampling approach to evidence gathering?

- A. Auditors are experts and do not need to look at much to know whether the financial statements are correct or not.
 - B. Auditors must balance the cost of the auditor with the need for precision.
 - C. Auditors must limit their exposure to their client to maintain independence.
 - D. Auditors will not have access to all of the financial information of the company.
99. Which of the following statements that refers to management accounting information?
- A. There are no regulations governing the reports.
 - B. The reports are generally historical and past event activities.
 - C. The user tends to be stockholders, creditors and governmental agency.
 - D. It primarily measures and records business transaction.
100. Classifying a cost as either direct or indirect depends upon:
- A. The behavior of the cost in response to volume changes.
 - B. Whether the cost is expensed in the period in which it is incurred.
 - C. Whether the cost can be easily identified with the cost object.
 - D. Whether an expenditure is avoidable or not in the future.

Answers:

1. C	14. B	27. B	40. D	53. B	66. C	79. D	92. C
2. C	15. B	28. B	41. D	54. A	67. D	80. D	93. D
3. C	16. B	29. B	42. B	55. C	68. D	81. B	94. A
4. B	17. B	30. C	43. D	56. B	69. D	82. B	95. B
5. A	18. D	31. D	44. B	57. C	70. B	83. D	96. B
6. A	19. C	32. D	45. D	58. B	71. C	84. A	97. B
7. B	20. C	33. B	46. A	59. C	72. C	85. C	98. B
8. A	21. C	34. B	47. B	60. C	73. D	86. A	99. A
9. C	22. D	35. A	48. C	61. C	74. D	87. B	100. C
10. C	23. D	36. B	49. C	62. B	75. A	88. C	
11. D	24. B	37. A	50. D	63. A	76. C	89. B	
12. B	25. A	38. B	51. C	64. B	77. B	90. B	
13. D	26. B	39. D	52. B	65. B	78. B	91. B	

